DETECTION THREAT LANDSCAPE

Integrity Tech SoftEther Masquerade Hunt

Flax Typhoon-enabled persistence behavior

Microsoft Defender XDR | Hunting | Medium

CLASSIFICATION	OPERATIONAL VALUE	STATUS
HUNTING	8 / 10	UNTESTED

PREPARED 12 OCTOBER 2026

No customer data. References defanged. Eight-page controlled dossier.

Decision & evidence

CONFIDENCE	FEASIBILITY	PRIMARY PLATFORM
MEDIUM	HIGH / MEDIUM	DEFENDER XDR

Source quality: High. AA26-281A is co-authored by FBI, CISA, NSA, NCSC-UK and partners and states that its evidence comes from multiple FBI investigations.

Confirmed facts

Threat actors installed SoftEther clients for persistence and C2 obfuscation. On Windows they downloaded installers with PowerShell or living-off-the-land binaries, configured automatic reconnect, and often named installers conhost.exe or dllhost.exe.

Analyst inference

Execution under either Windows filename outside System32 and SysWOW64 is a defensible hunt boundary. It is not proof that the file is SoftEther, malicious, or attributable to Integrity Tech.

Classification rationale

The observable behavior and Defender schema are documented, but content identity and benign prevalence are unknown. Therefore: Hunting query - Untested implementation sketch.

Observed attack flow

01

DOWNLOAD

PowerShell / LOLBin retrieves SoftEther installer

02

MASQUERADE

Installer named conhost.exe or dllhost.exe

03

PERSIST

SoftEther configured to reconnect on startup

04

REMOTE ACCESS

Client connects to actor-controlled VPN hub

Detection boundary: this package implements only step 02 as an endpoint hunt. Steps 01, 03 and 04 are enrichment and validation targets, not assumed correlations.

Schema & observability

REQUIRED	DeviceProcessEvents	Documented
KEY	FileName / FolderPath	Documented
CONTEXT	ProcessCommandLine / SHA1	Documented
ENRICHMENT	OriginalFileName / CompanyName	Environment-dependent
PROVENANCE	InitiatingProcess*	Documented
UNAVAILABLE	File content / config / install success	Not observed

Failure conditions

Unmanaged endpoints, incomplete FolderPath, renamed binaries using other filenames, in-memory execution, or an installer that does not itself expose useful process metadata.

Optional enrichment

DeviceFileEvents, DeviceNetworkEvents, signer/certificate evidence, software inventory, change records and analyst-controlled hash allowlists.

04 / QUERY

Primary KQL hunt

```
// Integrity Tech / Flax Typhoon - masqueraded SoftEther installer execution
// Platform: Microsoft Defender XDR Advanced Hunting
// Status: Hunting query - Untested implementation sketch
// Confidence: Medium
// MITRE ATT&CK: T1133, T1036.003
// Required telemetry: Microsoft Defender for Endpoint DeviceProcessEvents
// Evidence: AA26-281A states that actors downloaded SoftEther installers and
// often named them conhost.exe or dllhost.exe to resemble Windows binaries.
// This query deliberately excludes the legitimate Windows binary directories.
// A result is not proof that the binary is SoftEther or actor-controlled.

DeviceProcessEvents
| where FileName in~ ("conhost.exe", "dllhost.exe")
| where not(FolderPath startswith @"C:\Windows\System32\")
| where not(FolderPath startswith @"C:\Windows\SysWOW64\")
| project
    Timestamp,
    DeviceName,
    AccountName,
    FileName,
    FolderPath,
    ProcessCommandLine,
    ProcessVersionInfoCompanyName,
    ProcessVersionInfoOriginalFileName,
    SHA1,
    InitiatingProcessFileName,
    InitiatingProcessFolderPath,
    InitiatingProcessCommandLine,
    InitiatingProcessAccountName,
    ReportId
| order by Timestamp desc
```

False positives & response

LIKELY BENIGN

Packaging, forensic copies, sandboxes, developer/test paths, recovery tools.

VERIFY FIRST

Signer, certificate chain, SHA1, original filename, parent process, download provenance, owner.

ESCALATE WHEN

Unsigned or mismatched metadata, user-writable path, suspicious parent, unapproved VPN network behavior.

DO NOT CLAIM

SoftEther identity, persistence success, C2, compromise or attribution from the primary hit alone.

06 / VALIDATION

Acceptance criteria

1 Run 30-day prevalence

Preserve raw rows and classify every path and owner.

2 Check field population

Original filename, company, SHA1 and process tree.

3 Enrich network activity

Review same process instance for VPN hubs and unapproved destinations.

4 Decide rule viability

Promote only if benign overlap is reducible with stable properties.

Success: rare, explainable results with reliable path and provenance.

Rejection: unavoidable legitimate overlap or no stable enrichment.

Failure: missing key fields or insufficient Defender coverage.

Sources & safeguards

PRIMARY

AA26-281A - Chinese Government-linked Cyber Threat Actors Combine Automated and Hands-on Hacking Tools to Steal Sensitive Data. FBI, CISA, NSA, NCSC-UK and partners. Published 8 October 2026.

hxxps://www[.]ic3[.]gov/CSA/2026/261008[.]pdf

CORROBORATION

U.S. Department of Justice press release 26-1155. Published and updated 8 October 2026.

hxxps://www[.]justice[.]gov/opa/pr/justice-department-and-fbi-seize-vulnerability-scanning-and-spear-phishing-tools-operated

SCHEMA

Microsoft Learn - DeviceProcessEvents table in the advanced hunting schema. Accessed 12 October 2026.

hxxps://learn[.]microsoft[.]com/en-us/defender-xdr/advanced-hunting-deviceprocessevents-table

QUALITY CONTROLS

Eight A4 pages; no external assets; query readable; references defanged; no customer data; no invented Splunk or UDM mapping; classification and ATT&CK reviewed; untested status explicit.